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***757 The New Zealand Olympic and Commonwealth Games Association Inc. v Telecom New Zealand Limited and Another**



No Substantial Judicial Treatment

Court

High Court (New Zealand)

Judgment Date

2 May 1996

Report Citation

[1996] F.S.R. 757

In the High Court of New Zealand—Wellington Registry

Before: Justice McGechan

2 May 1996

Passing off—Sponsorship—Whether advertisement conveyed an impression of a connection with the plaintiff.

Interlocutory injunction—Serious question to be tried—Interlocutory injunction likely to be finally determinative—Relevance of weakness of case on the merits—Balance of justice.

Fair Trading Act 1986, ss.9, 13(e), 16(1)(a) .

The plaintiff (“the Association”) licensed sponsors of the New Zealand Olympic team to use the Olympic symbol, consisting of five interlocked rings in blue, yellow, black, green and red. In this fashion, the Association owned a valuable goodwill in New Zealand in the Olympic symbol. The first defendant (“Telecom”) published a newspaper advertisement which played on the Olympic symbol. The advertisement consisted of the word RING three times across the top line and twice across a lower line, interspersed with the words on the top line. The word RING appeared in the blue, black, red, yellow and green. Underneath it said, “with Telecom mobile you can take your own mobile phone to the Olympics” .

The Association sought an interlocutory injunction, claiming in passing off and under the Fair Trading Act 1986 . The Association's complaint in relation to each cause of action was

essentially that the advertisement would convey an impression that there was some association or connection between Telecom and the Olympic movement or the New Zealand Olympic team.

Held:

- (1) The decision whether or not to grant an interlocutory injunction would in reality finally decide the case. However, in such situations the threshold of a serious question to be tried should not be raised to a requirement of a prima facie case. Instead, the finality characteristic should be taken into account as a factor in the final step of examining overall justice.
- (2) The evidence at the interlocutory stage did not establish that there was a significant likelihood of readers of the advertisement assuming *758 that Telecom was connected with or was a sponsor of the Olympics. However, it was possible that such would be established by survey evidence which could emerge before trial. Therefore, it was not impossible that a different view could be taken at trial on further evidence. Thus, there was a marginal possibility of a serious question to be tried.
- (3) Where there was only a marginal possibility of a serious question to be tried, the court should nevertheless move on to consider the balance of justice. The weakness of the question to be tried should be factored into the determination of the overall justice of granting or refusing an interlocutory injunction.
- (4) A strict balance of convenience test favoured the Association. There was a prospect of loss of sponsorship opportunities which was difficult to measure. Damages would be a more adequate remedy for Telecom. The status quo clearly favoured the Association.
- (5) However, the overall balance of justice favoured the refusal of an injunction, because:
 - (a) the Association's case on the merits was weak:
 - (b) the grant of an interlocutory injunction would be likely finally to determine the action.
 - (c) the possibility of damage to the Association was not great and was unpredictable.
- (6) There would be no order as to costs. The defendants ventured into a minefield in publishing the advertisement and knew it. Litigation was highly likely and it followed.

The following further cases were referred to in the judgment:

10th Cantanae Pty Ltd v. Shoshana Pty Ltd (1988) 79 ALR 299 .

Fido Dido Inc. v. Venture Stores (Retailers) Pty Ltd (1988) ATPR 40–235 .

Hogan v. Koala Dundee Pty Ltd (1988) 83 ALR 187 .

Klissers Farmhouse Bakeries Ltd v. Harvest Bakeries Ltd [1985] 2 NZLR 129 .
Lego System Aktieselskab v. Lego M Lemelstrich Ltd [1983] F.S.R. 155 .
Mirage Studios v. Counter-Feat Clothing Company Ltd [1991] F.S.R. 145 .
National Hockey League v. Pepsi Cola Canada Ltd (1992) 70 BCLR (2d) 27 .
Pacific Dunlop Ltd v. Paul Hogan (1989) 87 ALR 14 (At first instance; *Hogan v. Pacific Dunlop* (1988) 83 ALR 403) .
Surge Licensing Inc. v. Pearson (1991) 21 IPR 228 .
Taylor Bros Ltd v. Taylors Group Ltd [1988] 2 NZLR 1 (C.A.) .
Television New Zealand Ltd v. Gloss Cosmetic Supplies Ltd (1991) 19 IPR 663 .
Tot Toys Ltd v. Mitchell [1993] 1 NZLR 325 .
Wineworths Group Ltd v. Comité Interprofessionnel du Vin de Champagne [1992] 2 NZLR 327 (C.A.) .

Representation

P.C. Dengate Thrush and R.L. Fehsenfeld , Bell Gully Buddle Weir for the plaintiff; J.E. Hodder and K.H. Greig , Russell McVeagh McKenzie Bartleet for the first defendant; J.B.M. Smith and V.L. Heine , Chapman Tripp Sheffield Young for the second defendant. *759

McGECHAN J .:

This is an application for interim injunction against repetition of a certain newspaper advertisement.

The substantive claim concerned was filed on April 18, last.

It alleges that the plaintiff is a licensee of property rights in the Olympic five ring symbol, which I describe as a row of three interlocked rings and two lower interlocked rings coloured from left to right, blue, yellow, black, green and red, and is also the registered proprietor of the New Zealand Olympic five ring and fern leaf symbol which is the same five rings registered in black and white with a fern leaf above the top left and centre. The plaintiff alleges an associated and valuable goodwill which it has deployed through sponsorship and the like. It alleges that Telecom, through Saatchi & Saatchi, has published a newspaper advertisement of a particular character and unless restrained will continue to do so. (I should note that Telecom has temporarily suspended publication of the advertisement pending outcome of this application.) The advertisement concerned is of a distinctive character. A copy of it will be attached to the original of this judgment. ¹ For present purposes I record its format as follows. It contains the word “ring” in large letters three times across a top line and twice across a lower line with the two lower “ring” words being beneath the gaps between the upper three. The colours are, working from left to right upper line, blue, black, red, lower line, yellow, green. It is against a plain background. It then states in capitals the phrase “with Telecom mobile you can take your own phone to the Olympics” . It then in smaller case type sets out a message as to the ability to use Telecom mobile phones if travelling to the Atlanta Olympics, and ends with a Telecom logo and mobile phone representation.

The plaintiff does not allege breach of copyright or trademark infringement. It puts forward three causes of action. First, under sections 9 and 13(e) of the Fair Trading Act 1986 ; secondly, in passing off; and thirdly, under trademark forgery under section 16(1)(a) and (c) of the Fair Trading Act . It seeks restraining injunctions and an inquiry as to damages.

The claim under sections 9 and 13(e) of the Fair Trading Act alleges that Telecom's five "ring" word advertisement misrepresents expressly or by implication certain things. In summary these are a Telecom association or connection with the Olympic movement or Association; secondly, a Telecom provision of sponsorship funds to the Olympic movement or Association; thirdly, a Telecom sponsorship of the New Zealand Olympic team and the Atlanta athletes; and fourthly, that the Olympic Association has approved or authorised such representation. The emphasis at hearing was rather upon the first of these, but not exclusively. It is pleaded that such is not the case. (I note that Telecom declined to be a sponsor of the present Olympics and that its competitor, Bell South, is a sponsor.) The claim under common law passing off asserts that the advertisement passes off Telecom mobile phone services as associated with the Olympic movement, the Olympic Association and the New Zealand Olympic team. The final claim for trademark forgery under section 16 alleges the five ring Olympic symbol *760 and five ring symbol plus fern leaf are trademarks within section 16, and the advertisement is a sign so nearly resembling the trademark as to be likely to mislead or deceive. There is not, in the end, any great difference in central issues raised by the three different causes of action. No statements of defence yet have been filed.

I turn to interim injunction principles applicable in this case. The plaintiff seeks an interim injunction, both at common law and under section 41 of the Fair Trading Act . On standard *Klisser* approaches one looks for a serious question to be tried, then at the balance of convenience, and then ultimately stands back and looks to overall justice. Section 41(4) adds the "desirability" factor in relation to Fair Trading Act proceedings. It is essentially to the same effect. The complication in this case is that this present decision on interim injunction in reality will decide the substantive issue. There will not be time before the Games start on July 19 for any proper trial on the merits. In such situations it sometimes is said the serious question threshold should be raised to that of a prima facie case, and that indeed was Saatchi & Saatchi's ultimate primary submission. Another recognised approach is to take this finality characteristic into account as a factor in the final step of examining overall justice. If the decision in reality will be definitive, justice can require something more than a marginal serious question to be tried. One does not make final decisions on shadowy contentions. That essentially is the plaintiff's and Telecom's primary, and Saatchi & Saatchi's secondary, submission as to approach. I will adopt this latter approach, and would have done so in any event. It allows a flexibility that best promotes a just resolution.

I turn to submissions made. I will record these, not least out of respect to careful and detailed arguments which were put forward. I will not, however, attempt to canvas every detail in an oral judgment delivered under circumstances of urgency. A gist must suffice.

There was no real dispute that the Olympic Association has an entitlement to the Olympic rings symbol and its New Zealand variant, or that it is well known, or that the Association has a goodwill which can be licensed out to sponsors.

Likewise, there was no real dispute that the advertisement taken as a whole with the word “ring” arranged and coloured as it was, and with the text referring to the Olympics beneath it, could lead at least some readers to an appreciation the word “ring” was arranged as a play, so to speak, on the Olympic symbol. If indeed there were any significant dispute on those two matters then I find as I have just outlined.

There is, however, strong dispute whether this leads on to an implication of connection with, let alone sponsorship of, the Olympic Association or the Olympic team by Telecom. The plaintiff submits it does. The plaintiff says that comparing essentials, and not comparing side by side but on the basis of imperfect recollection, the Telecom advertisement would be taken as a variant, extension or development of the Olympic symbol, not too vague or subtle; and the public would think such must be by connection with the Olympic Association or by sponsorship right. I was referred to the character **761* merchandising approach adopted in one of the Crocodile Dundee cases, particularly *Pacific Dunlop Ltd v. Paul Hogan & Ors* (1989) 87 ALR 14 . Any customary practice of stating the fact of official sponsorship, which was something which had not been done by Telecom, would, it was said, not lead to a different conclusion.

Telecom, on the other hand, submitted that the advertisement does not lead to the implication of connection between Telecom and the Olympic Association or team, or of sponsorship. The plaintiff's assertion to the contrary is put as a misconceived extension of legal protection accorded under recent cases of character merchandising. I was referred extensively to authorities in the latter area, including Australian decisions which I note as *10th Cantanae Pty Ltd v. Shoshana Pty Ltd & Another* (1988) 79 ALR 299 , *Hogan & Anor v. Koala Dundee Pty Limited & Ors* (1988) 83 ALR 187 . *Hogan & Ors v. Pacific Dunlop Limited* (1988) 83 ALR 403 , and on appeal *Pacific Dunlop Ltd v. Paul Hogan & Ors* (1989) 87 ALR 14 and *Surge Licensing Inc. & Anr v. Pearson & Ors* (1991) 21 IPR 228 . I was referred also to the English decision in *Lego System Aktieselskab & Anor v. Lego M Lemelstrich Ltd* [1983] F.S.R. 155 and *Mirage Studios & Ors v. Counter-Feat Clothing Company Limited & Anr* [1991] F.S.R. 145 ; and the Canadian national hockey league case *National Hockey League v. Pepsi Cola Canada Ltd* (1992) 70 BCLR (2d) 27 ; and last, but not least, the New Zealand decisions in *Television New Zealand Ltd v. Gloss Cosmetic Supplies Ltd* (1991) 19 IPR 663 and *Tot Toys Ltd v. Mitchell* [1993] 1 NZLR 325 . On the passing off aspect I was referred also to the *Taylor Bros Ltd v. Taylors Group Ltd* [1988] 2 NZLR 1 (C.A.) and *Wineworths Group Ltd v. Comité Interprofessionnel du Vin de Champagne* [1992] 2 NZLR 327 (C.A.) cases. As it was put, “read unrestrained”, it was said the Telecom advertisement did not represent connection or sponsorship. The five “ring” words did not do so. There was no evidence readers would actually so construe the advertisement. The contention, it was said, was contrary to evidence that readers were well used to official sponsors actually proclaiming their position as such, and the readers would not assume sponsorship unless that latter was done, which had not occurred. A mere conjunction of the word “ring” as set out and Telecom's name, it was said,

would not suffice. The Olympic Association was put as seeking an exclusivity going beyond legal protection, and one which would require legislation.

Saatchi & Saatchi's submissions concurred, drawing a like comparison with the character merchandising cases and emphasising the passing off element. There must be a clear and provable misrepresentation. It was said there was none. It was said there were dissimilarities between the Olympic symbol and the advertisement. Note was taken that one had circles and the other words; that the circles were interlocked but the words were separated: and it was said the words were "brighter, bolder and looser". The result, it was said, was to raise the idea of the mark, that is the Olympic symbol, but without infringing the mark or passing off in doing so. The advertisement was put as unlike advertisements which claim status as sponsors. In the absence of such express claims the public would know no sponsorship *762 existed. It was said there was no evidence of deception, and the claims went beyond recognised protection.

The first question is as to serious question. Is there a serious question to be tried? In the end the case reduces in this area to one crucial issue. It could be formulated in various ways. I put it this way. Does the Telecom advertisement, taken as a whole, read in the way a typical newspaper reader normally would, convey an impression that there is some association or connection between Telecom and the Olympic movement or the New Zealand Olympic team, whether generally or as a sponsor? If it does, it misleads and deceives for the purposes of the Fair Trading Act and it passes off. If it does not, of course the position differs. It is not a question of intention on the part of Telecom. I am not minded to speculate as to Telecom's intentions and that might be just as well. It is a question of effects on readers.

Turning to the evidence. I am not much helped by lay opinion, particularly from witnesses with an interest in the matter, on this issue. I do have some expert evidence both ways which merits rather more attention.

For the plaintiff Mr Main, an experienced graphic designer, considers the advertisement is to be viewed as a whole. Many would view the upper part, the ring words, without appreciating the reference to the Olympic symbol. Once, however, they read the lower part referring to the Olympics they would look back up and appreciate what he saw as a clever connection to the Olympics. He regarded Telecom as a large corporation active in sponsorship and the type of company one would expect to sponsor the Olympics. Mr Main says the Olympic symbol is a well-established trademark presently in wide use by sponsors as the Games approach, and he expresses belief most readers would assume Telecom was a sponsored product or an authorised service. He says it is well known that the Olympic symbols are tightly protected, and readers would assume approval.

For Telecom, two experts made affidavits. Dr Hoek and Mr Agee, both senior lecturers in marketing and with experience in the relevant field. Dr Hoek dismisses the asserted connection. She considers there is no way to, as she puts it, "intuit" New Zealanders' response to the advertisement. It would need research which would be difficult. Moreover, claims made of

association with Olympic sponsorship assume a level of attention well above the typical low levels paid. Readers, she said, are not literal readers. In her view the advertisement put forward two messages. First, that the Telecom network is the only one which will allow consumers to use mobiles at Atlanta and, secondly that Telecom has better coverage. She considered Telecom's use of Olympic metaphor, as she called it, is "a legitimate pun on a current event which in no way implies their sponsorship or patronage of the Olympics" .

Mr Agee thought likewise. He considers the assertion the "ring" words in the advertisement will be seen by the public as a representation of the Olympic five rings rather credits the advertisement with more impact than it deserves, or the public with a great deal more interest and time to decipher what he thought was an oblique message, than would be the case. He *763 considered the advertisement subtle to a point where the number of people who would make the connection was small.

Both Dr Hoek and Mr Agee, and indeed other witnesses, then make an additional point. They say much advertising these days carries overt sponsorship with sponsors noting their status as such by saying such things as "proudly sponsored by organisation X" and the like. The public, it is said, are used to that; and in its absence will not presume a sponsorship not so claimed. Various examples of such sponsorships notes are produced in evidence by other deponents, including sports sponsorships.

That is the evidence. In the end it is necessary for me to make up my own mind, and within that to apply commonsense. I accept those who read newspaper advertisements tend to browse. They will not be reading advertisements in a closely focused way, at least in the first instance. Those who notice the five coloured "ring" words, then drop their gaze to the next line picking up the reference to Olympics, and then refer back to the five "ring" words, and then make an association with the five circle Olympic symbol, will be mildly amused. It will then seem like a cartoon or a clever device. It is the sort of situation where one pauses for a moment to laugh, and acknowledge the lateral thinking involved. However, it is a long way from that brief mental process to an assumption that this play on the Olympic five circles must have been with the authority of the Olympic organisation, or through sponsorship of the Olympics. It quite simply and patently is not the use of the five circles as such. There is not a circle in sight, let alone a fern leaf. It is not as though there were five actual circles in the advertisement caricatured in some way, as, for example, with little animals swinging from the tops or peering out. It is not the sort of design like that where the reader would then be likely to pause and say "that seems; close to the wind. I suppose they must have got permission for that" .

The advertisement is perceived as simply too different, on what is before me to this point. I am not persuaded there is a significant likelihood of assumption by readers that Telecom is connected with or a sponsor of the Olympics.

In reaching that conclusion I do not give significant weight to the absence of an express claim to official sponsorship in the advertisement itself, although that was a feature which found much

favour in argument. That is a factor, but it is not a strong one. I rather doubt whether any average reader who did by chance wonder whether the advertisement was authorised by the Olympic Association would consciously look for a sponsorship claim, notice there was none, and proceed to reason Telecom was therefore not claiming to be a sponsor. That is an analytical process which appeals in hindsight to lawyers. It is not, I think, the causal reality of the newspaper reader. I have no doubt advertising agencies would dearly love a ruling that the absence of an explicit sponsorship claim means there cannot be a representation of sponsorship. I give no such ruling. It is a question of circumstances in each case.

On the view I have reached it could well be held there is no serious question to be tried, but I think rather more care than that is required. Mr *764 Main believes otherwise. There is also professional evidence warning against intuitive conclusions as to reader perceptions; in short against the very process in which I have just indulged. It is perhaps possible that survey evidence could yet show the contrary. One expert at least, Mr Agee, sees research as possible. There are no lay witnesses yet claiming to have read the advertisement and to have formed the contended belief. I do not draw very much from that yet, given the shortness of time since proceedings issued, but some such witnesses could yet emerge. I cannot therefore absolutely preclude the possibility a different view could be taken at trial on further evidence. I think it better to allow for the marginal possibility of a serious question to be tried, and to move on, factoring in this possibility in the final determination of overall justice. I note in that respect the somewhat analogous course taken in the Australian case of *Fido Dido Inc. v. Venture Stores (Retailers) Pty Ltd* (1988) ATPR 40 –235 .

I move therefore to the balance of convenience and overall justice.

The plaintiff submitted damages would be an inadequate remedy for the plaintiff, being unquantifiable, but would be an adequate remedy for the defendants quantified as expenditure to date. Inability to use the advertisement, it was said, could be met by replacement and legitimate advertisements. The status quo, identified as the situation in place before the first advertisement, favours the plaintiff. The conduct concerned was impacting on a third party, Bell South. As to overall justice, Telecom and Saatchi & Saatchi, put as experienced in sponsorship and matters Olympic, had gone in with eyes open. They, it was put, had overshot the line and should bear the consequences. The plaintiff accepted the Court must have regard to the effective finality of this decision in assessing where overall justice lies.

Telecom submits assessment of adequacy of damages and other elements of inconvenience, and even indeed status quo, are not helpful. As to overall justice, it was said the Court should not intervene in a campaign against what is called “ambush marketing” which should be resolved in other ways. If the Olympic Association had oversold sponsorship then it should live with the consequences. It was said that finality of decision meant that strength of the case was material.

Saatchi & Saatchi, following, submitted there would not be significant damage to the plaintiff, and that damages would be quantifiable. It was urged the Court not be over protective, and likewise,

with the decision being final, the strength of case was relevant; indeed it was put as a governing consideration.

First, balance of convenience. A strict balance of convenience test, leaving aside for the moment overall justice, favours the plaintiff. Damages would not be an adequate remedy for the plaintiff. There is a prospect, difficult to measure in advance, of loss of sponsorship opportunities. Damages would be a more adequate remedy for Telecom, the principal target, quantifiable at least in large part as expenses thrown away and the additional cost of a new advertisement, but would not be entirely adequate. There is the possibility of an unquantifiable loss attributable to the necessity to substitute a second *765 best alternative advertisement for the format which clearly was regarded, on professional advice, as the best. There is, as stated, a possible impact on third party sponsors such as Bell South and future sponsors. Status quo very clearly favours the plaintiff. It was Telecom which took the chance and instituted this new activity. It did not need to do so in this form.

The matter then, and finally, becomes one of standing back and looking at the overall justice of the case. In that exercise I see two particular elements to be weighed. One is the strength or otherwise of the plaintiff's case. Presently it is weak. Indeed, it is only by allowing for unproven possibilities that it can even reach the low serious question threshold. The other is the prospect of damage to the Association. That is a possibility but unpredictable. At most, it is a situation where the temptation is for Bell South to overstate adverse reactions. Bell South nevertheless says only that if Telecom, as it puts it, "gets its way" in this matter then Bell South will "be forced to seriously review" future involvement. That is a warning, but it is not a definite announcement of withdrawal. Telecom's conduct certainly is of concern to the Olympic movement, but there is no proven inevitability of damage. These Olympic sponsorships are good sponsorships, as the behaviour of major corporates world-wide tends to illustrate, even when beset by ambush marketing. They are not necessarily lightly abandoned. I do not pay much attention to individual conduct on either side although invited to do so. Telecom has been adventurous, perhaps unwisely so, but the Olympic Association, perhaps pushed by the competitor Bell South, may have been perhaps a little paranoid as to possible repercussions.

Overall, balancing factors, I consider the balance favours Telecom. If there was a stronger case on present evidence that readers would assume connection with or sponsorship of the Olympics, that would not be so. However, as matters stand, it would not be just to prevent Telecom from activity where any serious question of liability would be highly marginal and the prohibition in reality would be final. The courts must hesitate to finally prohibit conduct where evidence is slender. The risks, which I describe more as fears, of damage through continued activity are not such as to dictate this latter extreme. I warn that this should not be misunderstood as some licence to all and sundry to caricature the Olympic symbol. Each case turns on its own facts, and this is not precedent legitimising other designs. The present, indeed, comes near the borderline. It would not have taken very much in the way of changes to result in a different outcome. It may be this outcome also illustrates the need for additional protection by way of legislation. That is a matter for others, who no doubt would bear in mind Bill of Rights considerations relating to freedom of speech.

The formal order is that the application for interim injunction is dismissed.

As to costs, while Telecom and Saatchi & Saatchi have succeeded, there will be no order as to costs. Both ventured into a minefield with this advertisement, and I have no doubt each knew it. Litigation was highly likely, and it followed. It is not an area in which I am minded to encourage adventures, particularly at the ultimate expense of New Zealand athletes as it seems this has been.

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There will be no restrictions upon publication.

At conclusion of delivery, counsel for plaintiff requested reconsideration of the use of the word “paranoid”. The word was not used impulsively. It stands.

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Footnotes

- 1 Not reproduced here—Ed.